



Slides on debt ratings

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General summary of the opinions reflected by our ratings

Investment Grade	AAA	Extremely strong capacity to meet financial commitments. Highest rating
	AA	Very strong capacity to meet financial commitments
	A	Strong capacity to meet financial commitments, but somewhat susceptible to adverse economic conditions and changes in circumstances
	BBB	Adequate capacity to meet financial commitments, but more subject to adverse economic conditions
	BBB-	Considered lowest investment-grade by market participants
Speculative Grade	BB+	Considered highest speculative-grade by market participants
	BB	Less vulnerable in the near-term but faces major ongoing uncertainties to adverse business, financial and economic conditions
	B	More vulnerable to adverse business, financial and economic conditions but currently has the capacity to meet financial commitments
	CCC	Currently vulnerable and dependent on favorable business, financial and economic conditions to meet financial commitments
	CC	Highly vulnerable; default has not yet occurred, but is expected to be a virtual certainty
	C	Currently highly vulnerable to non-payment, and ultimate recovery is expected to be lower than that of higher rated obligations
	D	Payment default on a financial commitment or breach of an imputed promise; also used when a bankruptcy petition has been filed or similar action taken

Ratings from 'AA' to 'CCC' may be modified by the addition of a plus (+) or minus (-) sign to show relative standing within the major rating categories.

Source: S&P Global Ratings, "Guide to credit rating essentials"

Table 4**Descriptive Statistics On One-Year Global Default Rates**

	AAA	AA	A	BBB	BB	B	CCC/C
Minimum	0.00	0.00	0.00	0.00	0.00	0.25	0.00
Maximum	0.00	0.38	0.39	1.01	4.22	13.84	49.46
Weighted long-term average	0.00	0.02	0.06	0.18	0.72	3.76	26.78
Median	0.00	0.00	0.00	0.07	0.64	3.46	23.71
Standard deviation	0.00	0.07	0.10	0.26	1.01	3.29	11.76
2008 default rates	0.00	0.38	0.39	0.49	0.81	4.08	27.27
Latest four quarters (Q1 2016 - Q4 2016)	0.00	0.00	0.00	0.00	0.47	3.68	32.67
Difference between last four quarters and weighted average	0.00	(0.02)	(0.06)	(0.18)	(0.25)	(0.08)	5.90
Number of standard deviations	0.00	(0.29)	(0.59)	(0.69)	(0.25)	(0.02)	0.50

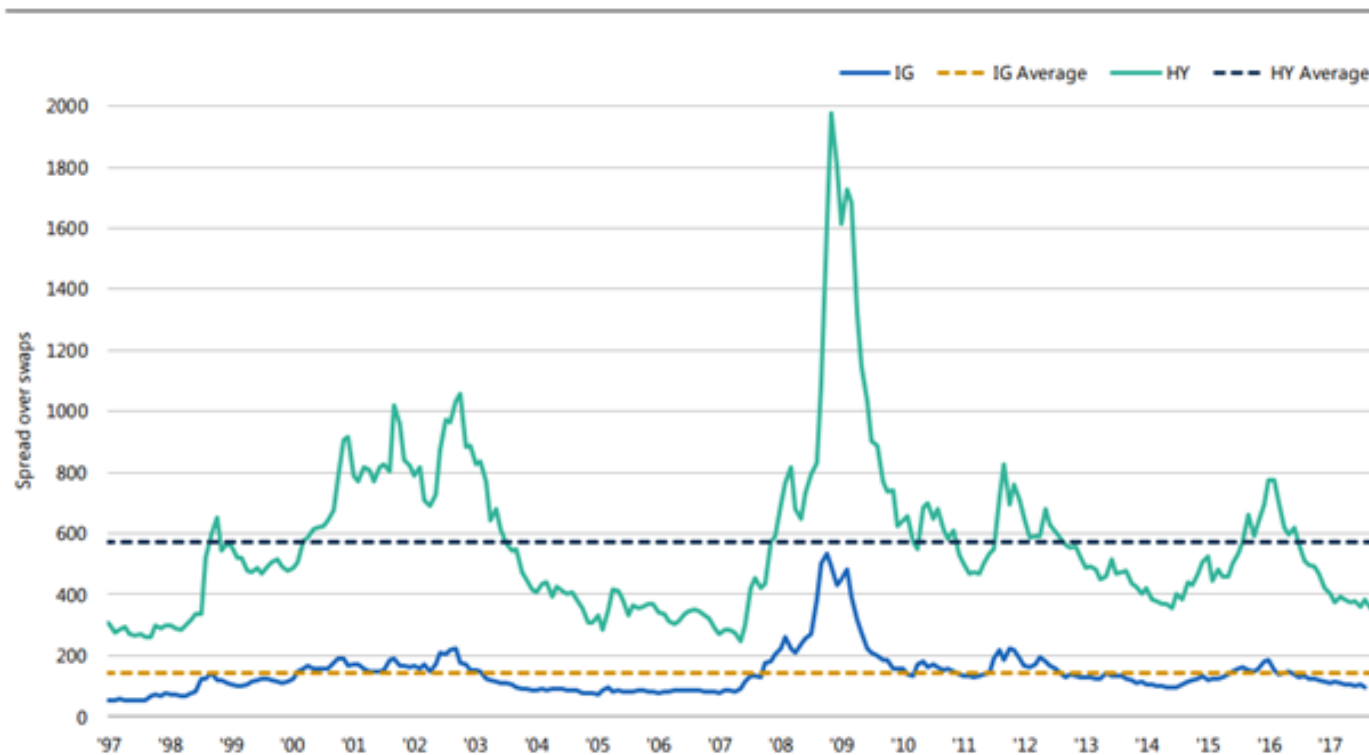
Sources: S&P Global Fixed Income Research and S&P CreditPro®.

I.e. a BBB-rated loan has 0.18% probability of defaulting over the next 12 months.

Source: S&P RatingsDirect, April 2017

ADJUSTED KEY INDUSTRIAL FINANCIAL RATIOS , U.S. Industrial long-term debt							
	Investment grade				Junk / high-yield /non-inv grade		
<i>Three-year (1998 to 2000) medians</i>	AAA	AA	A	BBB	BB	B	CCC
EBIT int. cov. (x)	21.4	10.1	6.1	3.7	2.1	0.8	0.1
EBITDA int. cov. (x)	26.5	12.9	9.1	5.8	3.4	1.8	1.3
Free oper. cash flow/total debt (%)	84.2	25.2	15	8.5	2.6	-3.2	-12.9
FFO/total debt (%)	128.8	55.4	43.2	30.8	18.8	7.8	1.6
Return on capital (%)	34.9	21.7	19.4	13.6	11.6	6.6	1
Operating income/sales (%)	27	22.1	18.6	15.4	15.9	11.9	11.9
Long-term debt/capital (%)	13.3	28.2	33.9	42.5	57.2	69.7	68.8
Total debt/capital (incl. Short-term D) (%)	22.9	37.7	42.5	48.2	62.6	74.8	87.7
Companies	8	29	136	218	273	281	22
Spread over risk-free rate, % (Jan 2024)	0.59	0.7	1.07	1.47	2.21	3.61	8.51

HY rates more sensitive to market conditions



As of 28 September 2017

SOURCE: Bloomberg IG is represented by the Bloomberg Barclays Investment Grade Index, HY is represented by the BofA Merrill Lynch US High Yield Index.

IG average is average OAS since the Bloomberg Barclays Investment Grade Index since 31 December 1996.

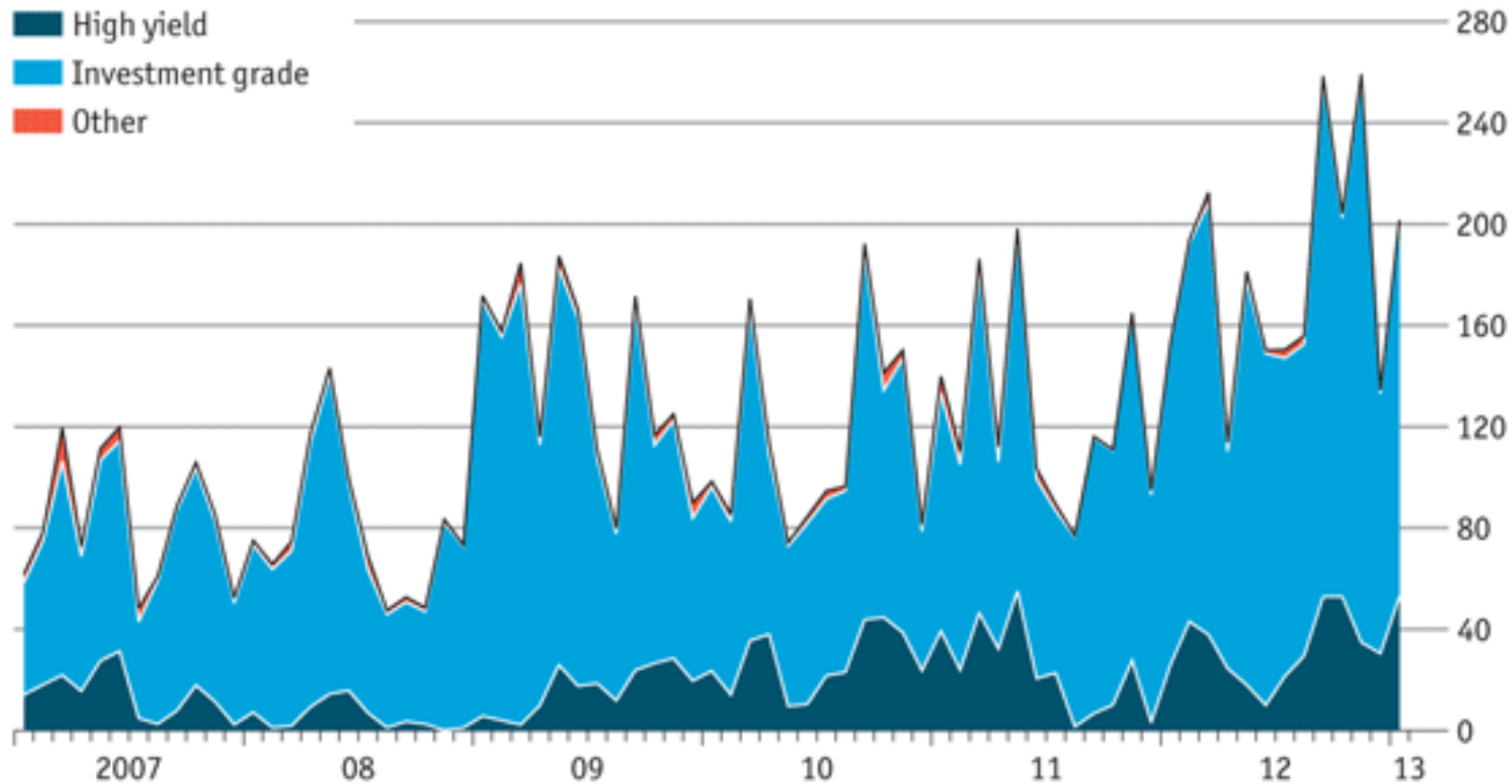
HY average is the average OAS since 31 December 1996

IG rating ensures access to debt markets, even in bad times

Global corporate bond issuance

\$bn

- High yield
- Investment grade
- Other



Source: Dealogic